



Second Quarter 2026 Earnings Pre-Recorded Management Discussion

August 5, 2026

Please view the following prepared management remarks together with our Annual Report on Form 10-K, presentation slides, earnings release, and non-GAAP information that accompany these remarks, which includes a discussion of non-GAAP financial measures and reconciliations of non-GAAP financial measures to the comparable GAAP financial measures. The accompanying presentation slides, earnings release, and non-GAAP information are available on our website at ir.kraftheinzcompany.com under News & Events > Events, or directly at ir.kraftheinzcompany.com/news-events/events.

We also invite you to listen to our live question-and-answer webcast with Kraft Heinz management, which will begin today at 9:00 a.m. Eastern Time and will be available on our website at ir.kraftheinzcompany.com under News & Events > Events, or directly at ir.kraftheinzcompany.com/news-events/events.

Forward-Looking Statements

The following remarks include a number of forward-looking statements as defined under U.S. federal securities laws, including, but not limited to, statements, estimates, and projections relating to our business and long-term strategy; our ambitions, goals, targets, and commitments; our activities, efforts, initiatives, plans, and programs, and our investments in such activities, efforts, initiatives, plans, and programs; and projected or expected timing, results, achievement, and impacts, as well as statements regarding the previously announced separation of Kraft Heinz into two independently traded companies, including the timing and structure of such separation, the pause of work related to the separation, the ability to effect the separation and to meet the conditions thereto, the characteristics of the separated businesses and the expected benefits of the separation if completed. Words such as “aim,” “anticipate,” “aspire,” “believe,” “commit,” “could,” “estimate,” “expect,” “guidance,” “intend,” “may,” “might,” “outlook,” “plan,” “predict,” “project,” “seek,” “will,” “would,” and variations of such words and similar future or conditional expressions are intended to identify forward-looking statements. These statements are based on management’s beliefs, expectations, estimates, and projections at the time they are made and are not guarantees of future performance. Such statements are subject to a number of risks and uncertainties, many of which are difficult to predict and beyond our control, which could cause actual results to differ materially from those indicated in the forward-looking statements. For additional, important information regarding such risks and uncertainties, please see our related earnings release, which accompanies this presentation, and the risk factors set forth in Kraft Heinz’s filings with the U.S. Securities and Exchange Commission, including our most recently filed Annual Report on Form 10-K and subsequent reports on Forms 10-Q and 8-K. We disclaim and do not undertake any obligation to update, revise, or withdraw any forward-looking statement in this presentation, except as required by applicable law or regulation.

Non-GAAP Financial Measures

These remarks contain non-GAAP financial measures, including Organic Net Sales, Adjusted Gross Profit, Adjusted Gross Profit Margin, Adjusted Operating Income, Constant Currency Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EPS, Free Cash Flow, Free Cash Flow Conversion, and Net Leverage. These non-GAAP financial measures may differ from similarly titled non-GAAP financial measures presented by other companies. These measures are not substitutes for their comparable financial measures prepared in accordance with accounting principles generally accepted in the United States of America (“GAAP”) and should be viewed in addition to, and not as an alternative for, the GAAP results in these remarks.

These non-GAAP financial measures assist management in comparing the Company’s performance on a consistent basis for purposes of business decision-making by removing the impact of certain items that management believes do not directly reflect the Company’s underlying operations.

Q2 2026 Earnings Pre-Recorded Management Discussion

ANNE-MARIE MEGELA, HEAD OF GLOBAL INVESTOR RELATIONS

Slide 1:

Hello. This is Anne-Marie Megela, Head of Global Investor Relations at The Kraft Heinz Company. I'd like to welcome you to our second quarter 2026 business update.

Slide 2:

During the following remarks, we will make forward-looking statements regarding our expectations for the future, including related to our business plans and expectations, strategy, efforts and investments, and related timing and expected impacts. These statements are based on how we see things today, and actual results may differ materially due to risks and uncertainties. Please see the cautionary statements and risk factors contained in today's earnings release, which accompany these remarks, as well as our most recent 10-K, 10-Q, and 8-K filings for more information regarding these risks and uncertainties.

Additionally, we will refer to non-GAAP financial measures, which exclude certain items from our financial results reported in accordance with GAAP. Please refer to today's earnings release and the non-GAAP information that accompany these remarks, which are available on our website at ir.kraftheinzcompany.com, under News & Events, for a discussion of our non-GAAP financial measures and reconciliations to the comparable GAAP financial measures.

Slide 3:

Today, our Chief Executive Officer, Steve Cahillane, will provide an update on our business performance and overall strategy. Andre Maciel, our Chief Global Financial Officer, will then provide a financial review of the second quarter results, and we will conclude by discussing our 2026 outlook.

We have also scheduled a separate, live question-and-answer session with analysts.

You can access our question-and-answer session at ir.kraftheinzcompany.com. A replay will also be available following the event through the same website.

With that, I will now turn it over to Steve.

STEVE CAHILLANE, CHIEF EXECUTIVE OFFICER

Thank you, Anne-Marie, and thank you all for joining us.

Slide 4: Key Takeaways

The momentum we built in the first quarter continued into the second quarter as we delivered results ahead of our expectations. On the topline, our over-delivery was broad-based – driven by better-than-expected performance in U.S. Retail, Global Away From Home, and Emerging Markets.

Our traction reflects the work we've done to meet consumers where they are – ensuring our brands remain relevant at a time when consumers continue to prioritize value and affordability. We are seeing continued progress on share recovery, and we know our investments are working. This gives us the confidence to raise our outlook for Organic Net Sales.

To build on this progress, we are increasing our 2026 incremental spend by \$100 million, to approximately \$700 million. We know that investing behind our brands is the right decision and that it sets us up for an even stronger 2027. And let me be clear, we are increasing investments from a position of strength. Not because what we are doing is not working, but precisely because it is, and we intend to build on that momentum.

As a result of the increased investments, we are narrowing our guidance range for Constant Currency Adjusted Operating Income.

Overall, we are ahead of our 2026 operating plan and our goal is unchanged – we are making investments in the business to position ourselves to return to volume-led, sustainable and profitable growth.

Slide 5: Q2 2026 Results

As encouraging as it is that we are running ahead of our expectations, there is still more work to be done.

Organic Net Sales were down 1.3% driven by a decline in U.S. Retail, partially offset by growth in Emerging Markets and Global Away From Home. These results included a 100-basis point headwind from Easter timing. Compared to the first quarter, our underlying performance improved when adjusting for this shift.

Adjusted Gross Profit Margin was flat versus the prior year – a result of strong productivity that helped to offset the impact from inflation.

Constant Currency Adjusted Operating Income declined 18.4%, reflecting our planned increase in marketing and higher variable compensation expense.

Taken together, these factors drove Adjusted EPS of \$0.56 in the quarter.

On cash, we again delivered strong results, with Free Cash Flow up 10% versus the prior year, led by working capital gains. Combined with a healthy balance sheet, this allows us to confidently support our dividend while managing leverage.

Slide 6: Market Share Results

Turning to our market share performance. Overall, the percentage of our revenue that is gaining or holding share is improving – from 21% in 2025 to 36% year-to-date. This reflects improving trends from last year across all three portfolio groups: HOLD, WIN, and WIN BIG.

When we look specifically at WIN BIG, 45% of our revenue is gaining or holding share year-to-date. This is led by our *Heinz* brand, which is gaining or holding share across market and category combinations reflecting over 70% of revenue. Underscoring the breadth of *Heinz*, we grew sales across each region – North America, International Developed Markets, and Emerging Markets – and across categories including ketchup, mayonnaise, pasta sauces, and soups.

Slide 7: Market Share Results

In U.S. Retail, we are also moving in the right direction. We ended 2025 with 12% of our revenue gaining or holding share. Year-to-date, we are now at 30%. Through investments made in 2025 and early 2026, we have driven improvements across Taste Elevation, Hydration, and Desserts.

That said, we still have work to do to address declines across Meats and Meals, where we are taking targeted actions. This includes price, product, and packaging investments across *Oscar Mayer* and stepping up innovation and media across *Kraft Mac & Cheese* – where we are starting to see market share trends improve. We believe the investments we're making will continue to translate into stronger performance in U.S. Retail.

Slide 8: Investment Allocation

As a reminder, we're prioritizing investments by market share goal. Where we aim to HOLD share – in brands like *Oscar Mayer* and *Maxwell House* – we are spending to defend. Where we aim to WIN – brands like *Lunchables* and *Jell-O* – we are investing selectively. And where we have the right to WIN BIG, like our Taste Elevation brands *Heinz* and *Philadelphia*, we are distorting investments accordingly.

Slide 9: 2026 Operating Plan

Now, turning to our 2026 operating plan. Our goal is to drive volume-led sustainable and profitable top line growth, while continuing to generate attractive Free Cash Flow.

To do this, we have built and are executing against clear plans to drive the turnaround of our U.S. business and accelerate momentum across our international markets – both in retail and away from home channels.

Starting with the U.S... Building on the investments we made in 2025, earlier this year we announced an incremental \$600 million across product superiority, select pricing, marketing, sales, and R&D – of which the majority is focused on turning around our U.S. business. As we overdelivered our expectations in the first half of the year, we are now increasing investments by allocating an additional \$100 million. This incremental \$100 million is an opportunistic acceleration and will be concentrated in marketing – building brand equity across our core and supporting innovation. We know our brands respond well when we invest behind them. We've seen the early green shoots, and we are going to build on that while continuing to improve how we allocate dollars and sharpen our execution. We are deploying these incremental dollars with discipline, and our strong balance sheet and robust Free Cash Flow position us well to fund them.

We have also continued to simplify our North America operating model, driving stronger accountability and faster decision making throughout the organization. We have separated Taste Elevation and Away From Home into two distinct business units, giving them each dedicated focus and resources. At the same time, we have consolidated our supply chain and procurement functions to improve efficiency and align with the new global structure.

Turning to our International business, as we look to accelerate momentum, growth will be led by our *Heinz* brand, along with distribution expansion in Emerging Markets. In the second half of 2026, we expect Emerging Markets growth to further accelerate.

Slide 10: Investment – Price & People

Now, let me walk you through how we're deploying our investment.

As consumers continue to face economic pressure, affordability remains a major focus for us. That focus is shaping how we approach pricing, pack sizes, promotions, and innovation across our portfolio. Across price, we are making disciplined investments to improve the ROI of our promotional spend, expand access to opening price points, and in select cases, implement base price adjustments.

Over the course of the year, we have improved the ROI of our promotional spend. At the same time, we have been laying the groundwork for our second-half price investments – partnering with retailers on stronger joint business plans, ensuring that we are building quality merchandising through display and features. We have also introduced smaller and more accessible pack sizes in categories such as pasta sauce, cheese, and salad dressings. And within

our portfolio, where commodity costs have come down, we are passing those savings onto the consumer - for example, in coffee.

A portion of our investment is also geared towards people. We are increasing headcount throughout the organization, with a focus on our marketing and sales teams. As we assess our progress on this front, we are on track, having hired approximately half of our North America commercial needs. This includes investments across eCommerce, where we grew approximately 14% year-to-date through May.

Slide 11: Investment – Marketing

We are also making a significant step up in our marketing investment, increasing spend to at least 6% of net sales and putting our marketing dollars to work. We are strengthening brand equity through new campaigns – like *Heinz's* 'It Has to be Heinz' and *Philadelphia's* 'Really Philly Good'. We are putting more media behind consumer-led innovation including *PowerMac*, *Capri Sun Hydrate*, and *Ore-Ida Shapes*. And we are building strategic partnerships that elevate key moments and enable us to showcase our brands.

As part of our America250 sponsorship, we unveiled “United Tastes of America”, our largest portfolio campaign ever. At the heart of the campaign is a new national TV spot that brings multiple brands together in a single creative – featuring favorites like *Heinz*, *Oscar Mayer*, *Kraft Singles*, *Kraft Mayo* and *Kraft Dressings*. Going beyond the screen, we brought the celebration to life with a lineup of limited-time, summer-ready innovations at retailers nationwide.

And just a couple of weeks ago, we also announced a landmark, multi-year strategic alliance with The Walt Disney Company. Brands including *Heinz*, *Philadelphia*, and *Kraft Mac & Cheese* will become part of moments tied to Disney's iconic franchises that guests and fans love most.

Not only are we spending more to support our brands, but we are spending more efficiently. We've reallocated dollars towards higher-return brand media, improved efficiency through fewer, more effective media partners, and launched stronger consumer-driven creative. Importantly, we're measuring direct sales impact, and we are seeing clear improvements.

Slide 12: Investment – R&D and Innovation

In addition to marketing, we are also stepping up investments in R&D to drive product superiority and value. These investments are increasing both capacity and capabilities to support our growth agenda across consumer experience, packaging innovation, and process development – all further enabled by digital advancements.

Our R&D investments directly support our strategy of bigger and fewer as it pertains to innovation. We are continuing to launch, support, and scale innovation that is focused on consumer driven platforms including convenience, new occasions, and nutrition.

Earlier this year, we launched *Kraft* Mac & Cheese PowerMac nationwide. We drove a lot of retailer excitement, with distribution coming in very strong – over 35,000 stores. We are supporting the launch with media and promotions – both of which are live. And initial results are encouraging. While still early, velocities are in the top quartile, and initial results show sales are highly incremental to our base and the overall category.

Capri Sun Hydrate is another innovation we've talked about – and one that I am really excited about. This is one of the first-to-market drinks with electrolytes designed specifically for kids. We rolled out to major retailers early in the second quarter and it has quickly become the fastest-turning innovation in kids' single-serve beverages – with top flavors turning at second-quartile velocities and driving incrementality.

And just now, we are starting to ship *Philadelphia* lactose-free cream cheese. With lactose intolerance affecting up to 50 million Americans, *Philadelphia* is well positioned to deliver our signature creaminess and taste, without compromise. Customer sell-in has been strong and we expect distribution to further ramp up as customer resets continue to roll out. Targeting a new set of consumers, we expect sales to be highly incremental to our base business.

Slide 13: International Markets

Now turning to our international markets. Our focus remains on growing the core through our *Heinz* brand and distribution expansion in our Emerging Markets.

Heinz grew approximately 12% in Emerging Markets in the second quarter. Around the world, we are expanding *Heinz* across new occasions and geographies, while catering to local preferences and trends.

Early in the second quarter, we launched *Heinz* Zero Ketchup in Brazil. With no added sugar, 50% fewer calories, 25% less sodium, a higher proportion of tomatoes, and selling for the same price as the original version – this is a great example of how we are meeting the consumer where they are. In the short time since launch, we are already capturing market share, and with media support just turning on, we expect to further accelerate sales velocities.

We also continue to grow in Emerging Markets through increased distribution – with distribution points up approximately 4% in the second quarter. This includes continued expansion into the Away From Home Channel, which grew over 5% in the quarter.

Slide 14: Away From Home

Taking a closer look at our Global Away From Home performance, we grew Organic Net Sales 2.9%. This was driven by a return to growth in the U.S. and continued growth in our Emerging Markets.

This growth reflects an approximate 150-basis point benefit in the U.S. from World Cup driven demand, in addition to lapping a prior year inventory deload. Outside of those impacts, which we do not expect to repeat, performance was driven by ongoing, net-new business wins.

Away From Home remains a strategic channel for us where we see significant opportunities including growing beyond ketchup, expansion into non-commercial channels, and increased penetration in QSRs. As we look at the second half of the year, we anticipate continued growth in our Global Away From Home business.

As you can see, we have built momentum in the first half of the year. With the bulk of our investment set to be in market in this second half, we remain focused on execution and delivering against our updated 2026 outlook.

With that, Andre will now walk you through our second quarter financial performance in more detail and our outlook for the year.

Slide 15:

ANDRE MACIEL, EVP AND GLOBAL CHIEF FINANCIAL OFFICER

Thank you, Steve.

Slide 16: Organic Net Sales

Starting with our second quarter results. Organic Net Sales for Kraft Heinz declined 1.3%. Price contributed 1.3 percentage points, while volume/mix declined 2.6 percentage points. Higher pricing was primarily driven by our Emerging Markets and North America coffee and kids single-serve beverage categories. Declining volume/mix largely reflects softness in meats, in addition to a 100-basis point headwind from the timing of Easter.

Our topline performance came ahead of expectations driven by U.S. Retail, Emerging Markets, and Global Away From Home. In U.S. Retail, we also benefited from a pull forward of inventory by customers related to summer grilling and in anticipation of strong fourth of July holiday activations. We estimate this benefit to be approximately 80-basis points for total Kraft Heinz.

Now breaking down performance by region. North America Organic Net Sales declined 2.7% versus the prior year. Growth in Canada and Away From Home was offset by declines in U.S. Retail, which were primarily driven by meats.

In our International Developed Markets, Organic Net Sales declined 0.7%. This was driven by market share pressure following customer negotiations in select regions, in addition to promotional phasing. These headwinds were partially offset by growth in Benelux and in the U.K., where we also gained share in the quarter.

In Emerging Markets, Organic Net Sales were up 8.5% with positive contribution from both price and volume/mix. This was driven by solid growth across most countries in the region and was partially offset by a 100-basis point impact from the decline in Indonesia. We expect to further accelerate growth in the second half of the year having fully lapped the headwind in Indonesia by the third quarter.

Slide 17: Adjusted Operating Income

Turning to the next slide, Kraft Heinz Adjusted Operating Income declined 18.4% and our Adjusted Operating Income Margin decreased 350 basis points. Of the 18.4% decline, over 8-percentage points was driven by increased marketing investment, and nearly 7-percentage points was due to higher variable compensation expense.

In North America, Adjusted Operating Income declined 15.8% versus the prior year. This was primarily driven by investments in marketing and higher variable compensation.

In International Developed Markets, Adjusted Operating Income declined 9.1%. This was primarily driven by increased investments in marketing and higher variable compensation, with strong productivity offsetting inflationary pressures.

And in Emerging Markets, Adjusted Operating Income increased 6.7%. This was driven by strong topline performance, productivity, and a one-time gain from indirect tax recovery. These impacts were partially offset by inflation and investments in marketing.

As you may recall, in the second quarter, we announced a change to our global operating structure. Effective July 1, 2026, under this new structure, the European countries currently included in Emerging Markets will move into the Europe and Pacific Developed Region. The results we cover today are in our previous structure, and we will begin reporting under the new operating structure in the third quarter.

Slide 18: Investments and Returns

Now going deeper into how we are tracking against some of our investments. We have generated improvements in our return on promotions. Year-to-date, we have increased ROI by 3.4 percentage points versus prior year and have increased the percent of promotional spend with net positive ROI by 6.6 percentage points.

As Steve mentioned, we are allocating an incremental \$100 million investment on top of the \$600 million that was already in our plan. These incremental dollars are primarily going to marketing. We are seeing good returns on our marketing spend, which gives us the confidence to step up our investments here. Based on our latest data, return on ad spend grew 6 percentage points globally. For the full year, we expect marketing to be at least 6% of net sales. In the first half of the year, marketing was up approximately 36% versus the prior year.

Our plan also contemplates increasing investment in R&D. In the first half of the year, R&D was up 22% versus prior year, which is relatively in line with our full year expectation.

Slide 19: Adjusted Gross Profit Margin & Efficiencies

Moving to Adjusted Gross Profit Margin. In the second quarter, our margin was flat versus the prior year. This was driven by productivity initiatives helping to offset inflation, mostly across manufacturing and logistics, and a positive impact from price.

Our inflation outlook for the full year remains slightly above 4%, reflecting current macroeconomic volatility and ongoing geopolitical conflicts. We are well hedged on energy and edible oils, providing coverage throughout most of 2026. We also have hedges in place on certain resins and metals through mid-Q3, but as those roll off, we expect greater exposure to spot prices in the fourth quarter.

Helping to mitigate these inflationary pressures, we continue to drive strong gross efficiencies that support our gross margin. We delivered over \$330 million year-to-date, representing at least 4% of COGS – a pace that we expect to continue throughout the rest of the year.

Slide 20: Adjusted EPS and Free Cash Flow

In terms of Adjusted EPS, we declined approximately 18.8%, or 13 cents, versus the second quarter of 2025. The decline was driven, as expected, by increased marketing and variable compensation expense.

Looking at Free Cash Flow, year-to-date we generated approximately \$1.7 billion dollars, a 10% increase versus prior year. Free Cash Flow Conversion of 123% represented a 27-percentage point increase compared to last year. The increase in Free Cash Flow was driven primarily by improvements in working capital across payables. These improvements reflect improved payment terms through collaborative supplier negotiations. Our Free Cash Flow Conversion also benefited from marketing accruals, with the impact to cash expected in subsequent quarters.

In the second quarter, we also recognized a non-cash \$7.4 billion-dollar impairment charge.

Slide 21: Capital Allocation

Turning to capital allocation, our priorities are unchanged and remain very clear – sustaining the dividend and protecting our investment-grade credit profile. With a strong balance sheet and solid Free Cash Flow generation, we have the flexibility to navigate volatility while investing in the business and continuing to fund the dividend, reduce debt, and manage leverage in a disciplined way.

In the second quarter, we used excess cash to pay down \$1.9 billion of debt at its June maturity, and we recently repaid another \$1 billion due in 2027. We also issued new Euro debt to fund a

U.S. tender offer for longer duration, higher-coupon notes. The issuance was very successful as it reduced our interest costs and provided net deleveraging.

We expect our 2026 Net Leverage to be no higher than 3.3 times, with a clear path to bring this back down to our target in about 2 years.

Slide 22: 2026 Guidance

Now, looking at our full year 2026 outlook.

We are raising our expectations for Organic Net Sales, which we now expect to be down 2 to down 0.5 percent, versus our previous expectation of down 3.5 to down 1.5 percent. This outlook includes an approximate 100-basis point headwind from declines in SNAP benefits, which remains unchanged.

Our outlook now contemplates Adjusted Gross Profit Margin in the range of down 50 to down 10 basis points year-over-year. Previous guidance contemplated Adjusted Gross Profit Margin down 75 to down 25 basis points year-over-year. Our updated expectation reflects targeted efficiencies of about 4%, inflation at slightly above 4%, and investments in price, product, and packaging. Our guidance assumes inflation that peaks as we head into the fourth quarter.

While the market remains volatile, as we see things today, we expect full year 2027 inflation to be between 4 to 5 percent. In anticipation, we are proactively ramping productivity initiatives to offset as much of the impact as possible.

For Constant Currency Adjusted Operating Income, we are narrowing our guidance range to a decline of 18 to 16 percent. As a reminder, our previous expectation was to be down 18 to down 14 percent. Our new outlook reflects an additional step up in marketing investments and an increased impact from higher variable compensation, partially offset by stronger topline expectations. As Steve said, we know that investing behind our brands is the right decision, setting us up for a stronger 2027.

As a result, we expect Adjusted EPS to be in the range of \$2.03 to \$2.09, versus our previous expectations of \$1.98 to \$2.10. Our Adjusted EPS expectation contemplates an effective tax rate of approximately 24.5 percent.

From a cash perspective, we now expect to generate Free Cash Flow Conversion of approximately 110%, versus our previous expectation of 100%.

Looking specifically at the third quarter, we expect Organic Net Sales to be in the range of down 2.5 to down 1.0 percent. We expect Global Away From Home to grow low-single-digits and for Emerging Markets to improve relative to the second quarter year-over-year performance. In U.S. Retail, while we anticipate continued improvement in share trends, we do expect that the

inventory pull forward we saw in Q2 will be an 80-basis point headwind to our consolidated results in the third quarter. We also expect a headwind from promotional timing, reflecting our planned step up in investments.

For Adjusted Operating Income, we anticipate a decline in the range of down 25 percent to down 23 percent, primarily driven by a further step up in investments. This contemplates an Adjusted Gross Profit Margin that is expected to be down year-over-year as we increase investments in price.

With that, let me pass it back to Steve for some closing comments.

STEVE CAHILLANE, CHIEF EXECUTIVE OFFICER

Closing Comments

Thank you, Andre.

We delivered a first half that was ahead of our original expectations. Driven by early investments, we have built momentum behind consumption and share trends, and we are seeing improvements across key growth areas including our Taste Elevation categories, Global Away From Home, and across Emerging Markets.

As we have previously said, should we over-deliver our expectations this year, we reserve the right to invest more – and that is exactly what we are doing. With investments ramping up in this second half, there is a lot more to come. We are managing our portfolio of brands and geographies very effectively, and we remain focused on disciplined execution and delivering against our updated outlook.

Thank you for your time and thank you for your interest in Kraft Heinz.